

Procurement Policy 10

PROCUREMENT POLICY

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Policy Number: PROC-001
Policy Title: Procurement and Vendor Management Policy
Effective Date: January 1, 2026
Review Date: January 1, 2027
Owner: Procurement Department

PURPOSE

This policy establishes guidelines for procurement activities and vendor management at GlobalTech Corporation to ensure cost-effectiveness, quality, compliance, and fair business practices.

SCOPE

This policy applies to all departments and employees involved in procurement activities, including the purchase of goods, services, and software.

PROCUREMENT PRINCIPLES

Value for Money

- Achieve best value considering total cost of ownership
- Balance price, quality, and service
- Consider long-term implications of purchasing decisions
- Evaluate alternatives before making decisions

Fair Competition

- Provide equal opportunity to qualified suppliers
- Maintain transparent procurement processes
- Avoid conflicts of interest
- Document decision-making processes

Compliance

- Follow all applicable laws and regulations
- Maintain ethical business practices
- Adhere to company policies and procedures
- Ensure proper documentation and audit trails

PROCUREMENT AUTHORITY

Delegation of Authority

- Up to \$1,000: Department Manager approval
- \$1,000 - \$10,000: Department Head approval
- \$10,000 - \$50,000: Vice President approval
- \$50,000 - \$100,000: Executive Vice President approval
- Over \$100,000: CEO/Board approval

Special Approvals

- Software purchases: IT Department review required
- Consulting services: Legal Department review required
- Marketing services: Marketing Department review required
- International vendors: Compliance Department review required

PROCUREMENT PROCESS

Requisition

1. Identify need and specifications
2. Submit purchase requisition through procurement system
3. Provide business justification and budget code
4. Obtain required approvals
5. Submit to Procurement Department

Sourcing

1. Procurement reviews requirements
2. Identifies potential suppliers
3. Requests quotes or proposals (3 minimum for purchases over \$10,000)
4. Evaluates supplier capabilities and pricing
5. Selects supplier based on defined criteria

Purchase Order

1. Procurement issues purchase order
2. Supplier confirms acceptance
3. Order details communicated to requester
4. Delivery timeline established
5. Payment terms specified

Receipt and Payment

1. Goods/services received and verified
2. Receiving documentation completed
3. Invoice submitted for payment
4. Three-way match (PO, receipt, invoice)
5. Payment processed per terms

VENDOR MANAGEMENT

Vendor Registration

- All vendors must complete registration process
- Provide business information and certifications

- Complete compliance questionnaire
- Sign standard terms and conditions
- Undergo financial and background checks

Vendor Classification

- Strategic: Critical suppliers with significant spend
- Preferred: Reliable suppliers with good performance
- Approved: Qualified suppliers meeting standards
- Restricted: Suppliers with limitations on use

Performance Evaluation

- Annual performance reviews for strategic vendors
- Quarterly reviews for preferred vendors
- Evaluation criteria: quality, delivery, cost, service
- Performance scores maintained in vendor database

Vendor Relationships

- Maintain professional relationships
- Avoid conflicts of interest
- Do not accept personal gifts or entertainment
- Report any ethical concerns immediately

SPECIFIC PROCUREMENT CATEGORIES

Software and Technology

- IT Department approval required for all software purchases
- Software asset management compliance required
- License compliance verification
- Security review for all technology purchases
- Consider cloud vs. on-premises options

Consulting Services

- Define clear scope of work and deliverables
- Use standard consulting agreements
- Capable vendor selection process
- Performance-based payment terms
- Regular progress reviews

Marketing Services

- Marketing Department input on creative services
- Agency selection based on capabilities and portfolio
- Clear campaign objectives and metrics
- Brand guidelines compliance required
- ROI measurement and reporting

Professional Services

- Legal services: Legal Department coordination
- Financial services: Finance Department coordination
- HR services: Human Resources coordination
- Clear service level agreements
- Confidentiality agreements required

COMPLIANCE AND ETHICS

Anti-Corruption

- Strict prohibition of bribery and corruption
- Compliance with Foreign Corrupt Practices Act (FCPA)
- No facilitation payments permitted
- Report any corruption concerns immediately
- Regular anti-corruption training

Conflict of Interest

- Disclose any personal relationships with vendors
- Recuse from decisions involving personal connections
- No personal financial interest in vendor selection
- Maintain arm's length relationships
- Document all potential conflicts

Diversity and Inclusion

- Consider diverse suppliers in procurement process
- Support minority-owned and women-owned businesses
- Track diversity spending metrics
- Include diversity in vendor evaluation criteria
- Report diversity procurement annually

Sustainability

- Consider environmental impact of purchases
- Prefer suppliers with sustainable practices
- Evaluate supplier environmental policies
- Consider lifecycle costs and impacts
- Support green procurement initiatives

RISK MANAGEMENT

Supply Chain Risk

- Assess supplier financial stability
- Evaluate geographic concentration risks
- Develop contingency plans for critical suppliers
- Monitor supplier performance and viability
- Maintain backup supplier relationships

Contract Risk

- Use standard company contracts when possible
- Legal review required for all contracts over \$10,000
- Clear terms and conditions
- Appropriate liability and indemnification provisions
- Termination clauses for poor performance

Quality Risk

- Define quality requirements clearly

- Establish quality metrics and monitoring
- Implement acceptance testing procedures
- Maintain quality issue tracking
- Continuous improvement expectations

EXPENSE MANAGEMENT

Budget Compliance

- All purchases must align with approved budgets
- Budget variances require additional approval
- Track spending against budget throughout year
- Forecast remaining budget needs
- Report budget concerns proactively

Cost Control

- Negotiate favorable terms and pricing
- Consider total cost of ownership
- Implement cost-saving initiatives
- Challenge unnecessary expenditures
- Maintain cost competitiveness

Spend Analysis

- Regular spend analysis by category and supplier
- Identify consolidation opportunities
- Track compliance with preferred suppliers
- Monitor spend against contracts
- Report spend metrics to management

RECORDS AND REPORTING

Documentation

- Maintain complete procurement records
- Retain documents per company record retention policy
- Include justification for supplier selection
- Document all approvals and decisions
- Ensure audit trail compliance

Reporting

- Monthly procurement reports to management
- Quarterly vendor performance reports
- Annual spend analysis and diversity reporting
- Compliance and ethics reporting
- Risk assessment reporting

CONTACT INFORMATION

Procurement Department
Phone: 555-0145

Email: procurement@globaltech.com
Location: 4th Floor, Procurement Department

For policy questions, contact the Procurement Department.

POLICY ACKNOWLEDGMENT

I acknowledge that I have read and understand the Procurement and Vendor Management Policy. I agree to comply with all provisions and understand that violations may result in disciplinary action.

Employee Signature: _____

Employee Name: _____

Employee ID: _____

Date: _____